

Wrap-Ups 101



Tim Walsh

SVP, Director
Design & Construction
Oswald Companies
Unison Risk Advisors



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Agenda

- Construction Project Risk Allocation & Insurance Options
- “Wrap-Up” Insurance Defined
- Important Wrap-Up Concepts
- Wrap-Up Life Cycle



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Construction Project Risk Allocation & Insurance Options



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Construction Risks

Myriad of Risks

- Delays – Permits, Supplies, Poor Documents, Poor Sequencing, Labor Availability & Strikes
- Cost Overruns
- Known/Unknown Site Conditions
- Design Errors & Omissions
- Contractor/Subcontractor Default or Non-Performance
- Physical Damage to Project, Adjacent Property
- Injury to Workers, Employees, Public
- Hazardous Materials – On-site, Off-site, Completed Project



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Insurable Construction Risks

Owners Typically Procure	Coverages Considered for Project-Specific Coverage	Contractors Typically Procure
Property on Existing Buildings	Builder's Risk	Contractor's Tools & Equipment
Excess DP Liability (OPPI)	Design Professional Liability	Business Auto
Pollution Legal Liability	Contractors Pollution Liability	Watercraft Liability
Workers' Compensation/ Employers Liability (EE's)	Workers' Compensation/ Employer's Liability	Aviation Liability (helicopters, drones)
General Liability	General Liability	Employment Practices Liability
Umbrella or Excess Liability	Umbrella or Excess Liability	Cyber Liability
		Surety Bonds/SDI



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"Wrap-Up" Insurance Defined



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“Wrap-Up” Insurance

Generic Term for a Project-Specific Insurance Program

Insuring the Owner, GC/CM and All Enrolled Subs for a Project

Insuring WC/EL, GL, XS or GL, XS

Purchased by a “Sponsor”

Coverage Limited to Project Site(s) & Designated Off-Site Locations

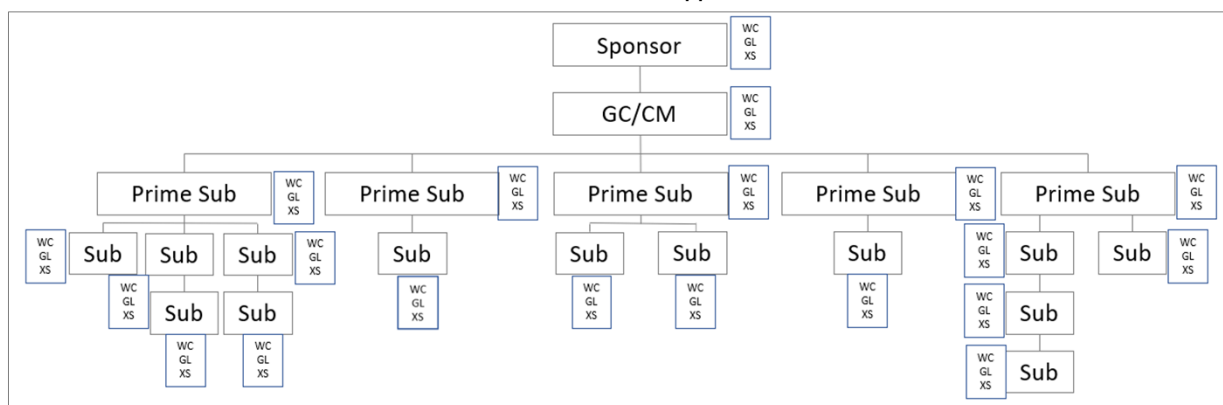


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“Traditional Insurance”

Alternative to Each Party Insuring Under Corporate Insurance Program

Traditional Approach

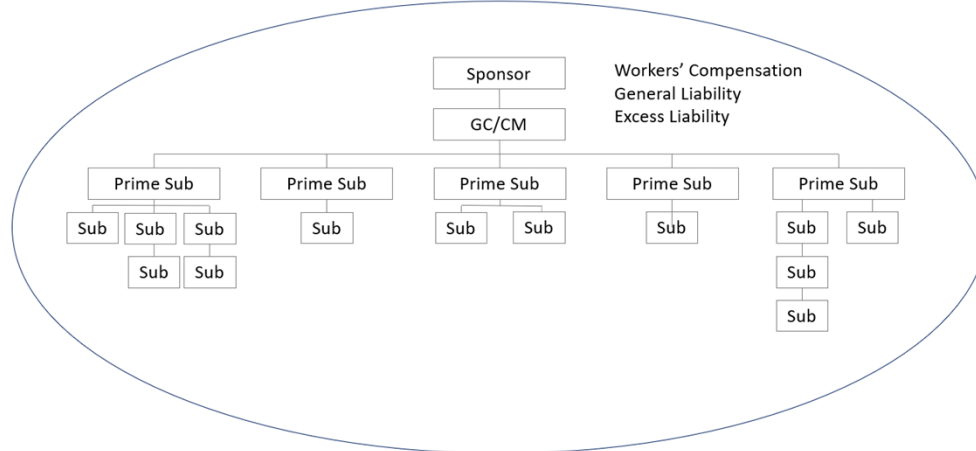


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"Wrap-Up" Insurance

Alternative to Each Party Insuring Under Corporate Insurance Program

Wrap-Up Approach



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"Wrap-Up" Sponsors

"Sponsor" is party purchasing the coverage

Owner Sponsor
Owner-Controlled Insurance Program (OCIP)

Contractor (CM/GC) Sponsor
Contractor-Controlled Insurance Program (CCIP)



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Types of Wrap-Ups

Type	Typical Minimum Size
OCIP	\$100M+ Single Project
CCIP	\$75M+ Single Project
Residential	\$10M+ "For Sale" Residential Projects
Rolling (OCIP or CCIP)	\$200M Enrolled Volume over 3 Years
Maintenance or Gate	\$100M Enrolled Sub Volume over 3 Years

Coverage Type	Lines of Coverage
"Combined Line"	WC/EL/GL/XS
"General Liability-Only"	GL/XS



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Traditional Insurance vs. Wrap-Up Insurance

Traditional	Wrap-Up
Named Insured = Contractor	Named Insured = Owner (OCIP), GC/CM, Enrolled Subcontractors
Annual Policy	Policy Term for Term of Project
Limit Dedicated to Named Insured (for all projects)	Limits Shared by all Insured Parties
Insures Operations at/away from various Project Sites	Insures Operations at Specific Site or Dedicated Off-Site Location (if endorsed)
Completed Operations Occurring During Policy Period	Products/Completed Operations Extension (typically through state statute of repose)



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Why Wrap-Up Programs Are Popular

- Known Coverage
- Dedicated Limits to Project (may be shared in Rolling Wrap-Up)
- Higher Catastrophic Limits
- 1st Named Insured Status for the Sponsor
- Potential Cost Savings (Margin Expansion on CCIP)
- Bifurcates Project Risk from Corporate Insurance Program
- Increase Pool of Qualified Bidders
- Coverage Enhancements (e.g., Products & Completed Operations Hazard thru Statute of Repose) JAO
- Better Control Claims Management for Sponsor
- Easier Compliance Administration



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Drawbacks of Wrap-Up Insurance Programs

- Administration (Marketing, Claims, Enrollment, Insurance Credits, Payroll Reports, Close-Out)
- Potential for Contractor Resistance
- May cost more than “traditional” insurance
- May not insure adequate limits
- Unfair Contractor Deductibles
- Poor Administration



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Important Wrap-Up Concepts



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Wrap-Up Terms



Administrator – Insurance agent/broker responsible for program administration.



Eligible Party(ies) – Subs that qualify for enrollment in the wrap-up.



Excluded Party(ies) – Subs and suppliers that do not qualify for enrollment in the wrap-up.



Enrolled Party(ies) – Sub that is eligible to enroll, has provided the required enrollment documentation and has received written confirmation from the administrator that coverage is in effect for that sub.



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Eligible vs. Excluded Party(ies)

Eligible Party

- Contractor, all Subcontractors and Sub-subcontractors, unless an Excluded Party

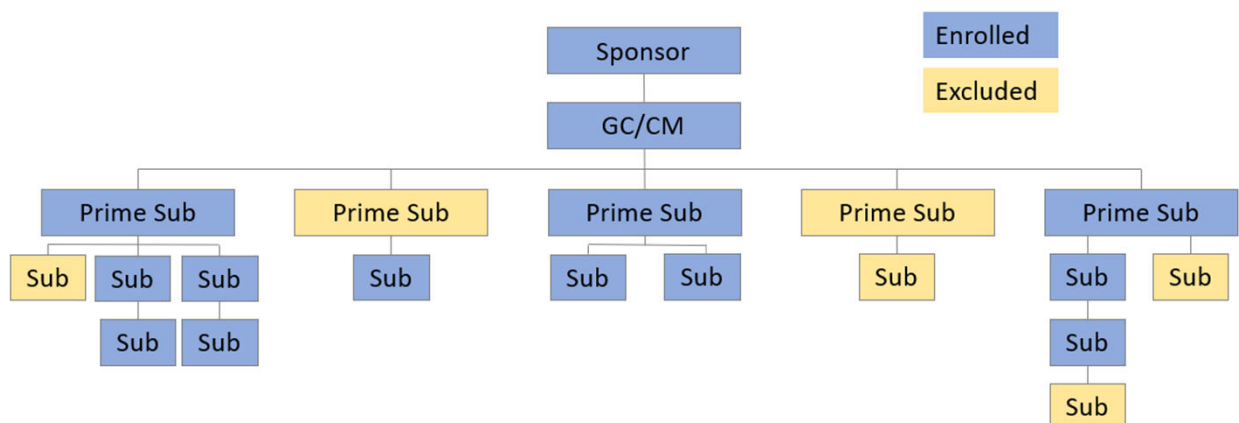
Excluded Party (varies by project):

- Hazardous materials remediation, removal, and/or transport companies, and their consultants;
- Demolition contractors;
- Architects, engineers, surveyors, and soil testing engineers and their consultants;
- Vendors, suppliers, fabricators, and material dealers;
- Truckers, haulers, drivers, and others who merely transport, pickup, deliver, or carry materials, personnel, parts, or equipment to or from the Project Site;
- Crane lessors, companies specializing in the installation, operation or rigging of cranes;
- Scaffold, buck hoist installation or assembly firms;
- Subcontractors or Sub-subcontractors who do not perform any actual labor on the Project Site.
- Any party, Subcontractor or Sub-tier that the Sponsor or CIP insurers, in their sole discretion, deem not eligible to Enroll in the CIP.



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Typical Project



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Wrap-Up Concepts (continued)

- **Designated Location(s) Limitation** – Description of project site(s) in wrap-up policies which limits where coverage applies.
- **Products/Completed Operations Hazard Extension** – Period of time Occurrences are insured under the wrap-up policy which are insured under the Products-Completed Operations Hazard.
- **Bid Deduct/Credit** – Amount deducted or eliminated from a base bid in exchange for the sponsor providing the wrap-up insurance. Can also be an Add Alternate to the base bid.
- **Cost Savings** – How insurance costs are achieved vs. traditional insurance.
- **Wrap-Up Exclusions** – Exclusion endorsement on a contractor practice program to prevent duplicate coverage and premiums charged for work insured under a wrap-up program.



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Designated Location(s) Limitation

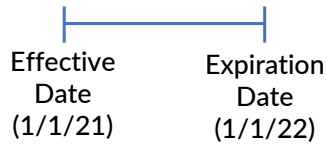
- a/k/a Designated Workplace Exclusion or Limitation
- Coverage limited to Site Definition in Policy
- Can Include Designated Off-Site Locations (e.g., staging locations), if endorsed
- Can be in a “Wrap-Up Project Endorsement”
- Site Can be Described as:
 - Legal Site Description
 - Description of Project Site Boundaries
 - Site Map



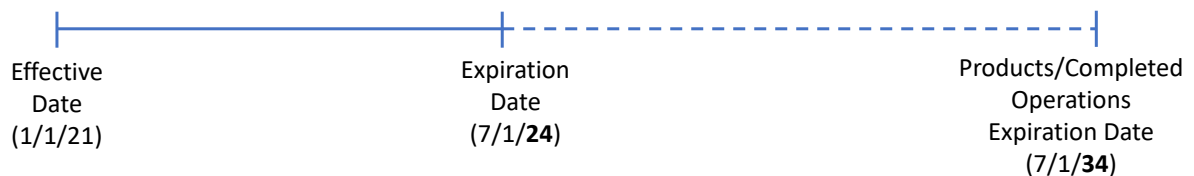
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Products-Completed Operations Hazard Extension

Traditional GL Policy



Wrap-Up GL Policy



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How Cost Savings Are Achieved in a Wrap-Up

Aggregate Volume (Catastrophic Limit vs. Lower Limits)

+ Large Deductibles

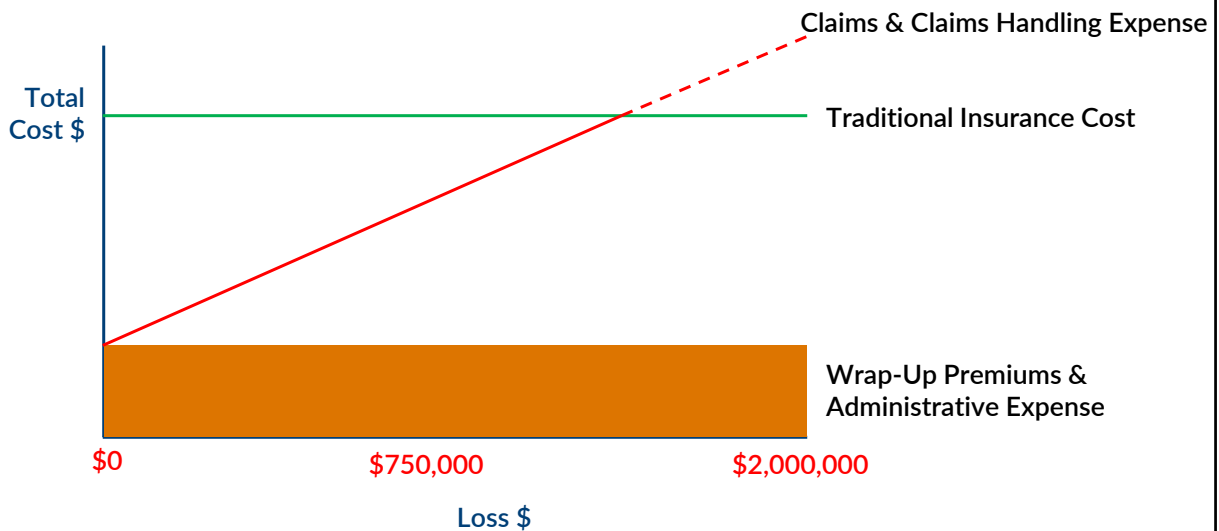
+ Control Claims Expense

= Cost Savings (Wrap-Up Cost vs. Traditional Insurance Cost)



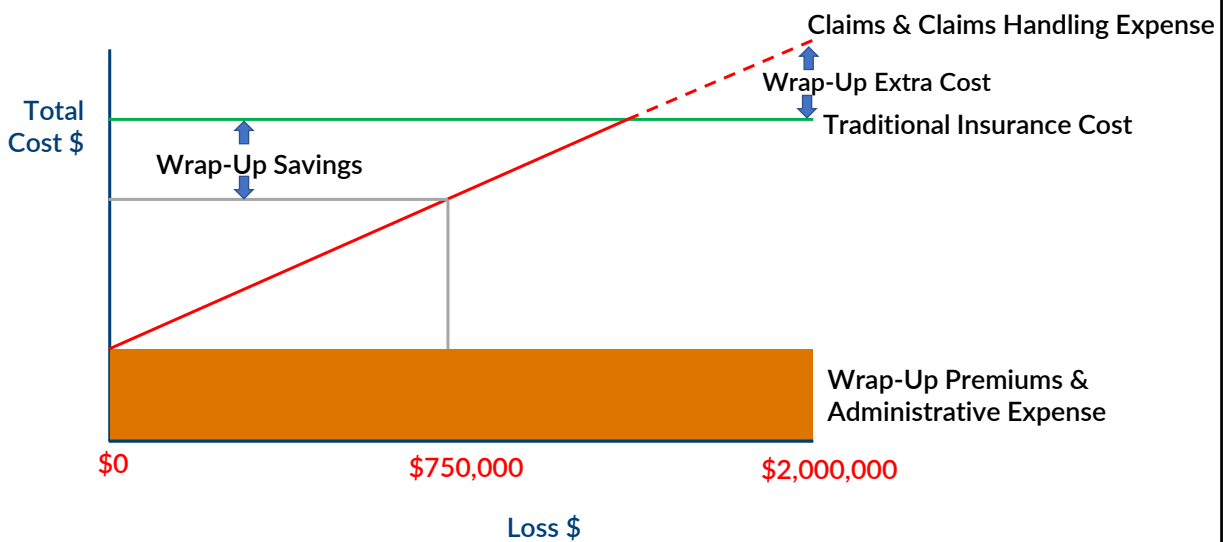
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Cost Savings Illustration



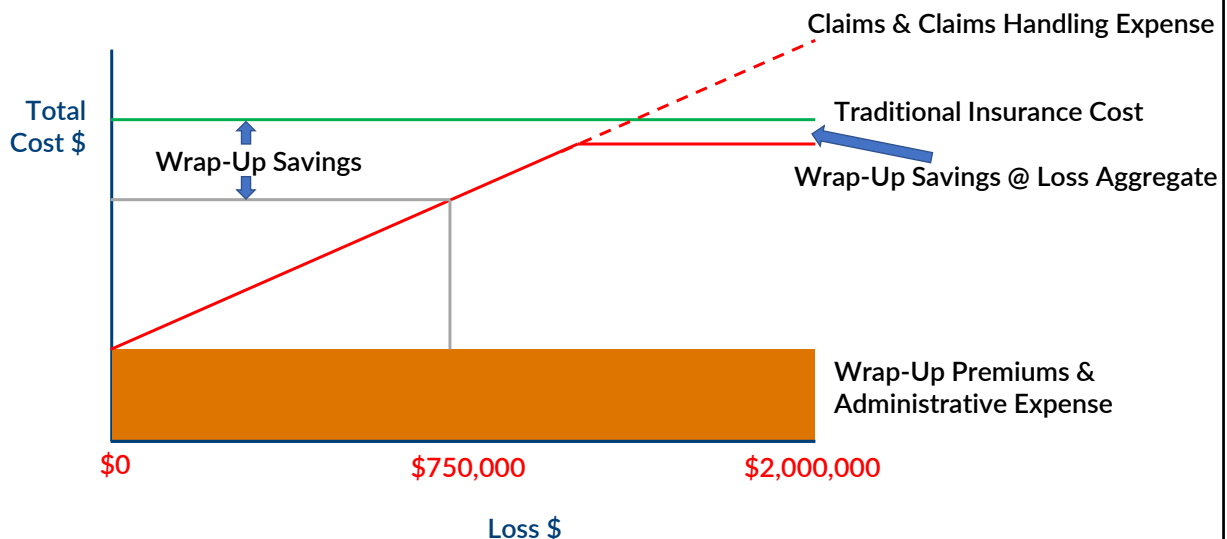
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Cost Savings Illustration



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Cost Savings Illustration



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Bid Credit Methodologies

Sponsor determines approach to carving insurance costs for wrap-up coverages from bids

Net Bid – All bidders instructed to submit bid excluding insurance costs for coverages provided under the wrap-up.

Advantages	Disadvantages
✓ Ease of Administration	✓ Questionable if Insurance Costs are Actually Removed
✓ Increase Bid Pool of Potential Bidders	✓ No Documentation on Insurance Costs Removed
✓ Meet Required State Requirements (if applicable)	✓ No Documentation on Insurance Costs for Excluded Parties
	✓ Reduces the Competitive Advantage for Safer Contractors



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Bid Credit Methodologies

Sponsor determines approach to carving insurance costs for wrap-up coverages from bids

Add Alternate – All bidders instructed to submit a base bid excluding insurance costs for coverages provided under the wrap-up + provide documentation as to the amount that was excluded from the base bid.

Advantages	Disadvantages
✓ Documentation on Insurance Costs Removed	✓ Questionable if Insurance Costs are Actually Removed
✓ Documentation on Insurance Costs for Excluded Parties	✓ Additional Administration to Verify Insurance Credit Calculations
✓ Meet Required State Requirements (if applicable)	



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Bid Credit Methodologies

Sponsor determines approach to carving insurance costs for wrap-up coverages from bids

Gross Bid with Deduct Alternate - All bidders instructed to submit a base bid including insurance costs for coverages provided under the wrap-up + provide documentation for contractor's insurance costs. If enrolled, the Deduct Alternate will be accepted, and the subcontract value will be lowered accordingly.

Advantages	Disadvantages
✓ Documentation on Insurance Costs Removed	✓ Additional Administration to Verify Insurance Credit Calculations
✓ Documentation on Insurance Costs for Excluded Parties	✓ Some State Requirements Prohibit
	✓ Potential Friction with Contractors over the Insurance Credit Calculation



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Bid Credit "True-Up"

	Net Bid	Net Bid w/ Add Alternate	Gross Bid w/ Deduct Alternate
Base Bid	\$950,000	\$950,000	\$1,000,000
Alternate	N/A	\$50,000	\$50,000
Initial Subcontract Sum	\$950,000	\$950,000	\$950,000
If "True-Up" (\$60,000 Actual):			
Change Order	N/A	(\$10,000)	(\$10,000)
Final Contract Sum	\$950,000	\$940,000	\$940,000



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Insurance Cost Worksheet

Controlled Insurance Program
Insurance Cost Worksheet

Company Name: _____ Contact: Person: _____
Address: _____ Telephone: _____
City, State, Zip: _____ E-mail: _____
Your Contract Value: \$ _____ Contract With: _____
Job Name: _____ Estimated # of Subcontractors: _____

Workers' Compensation (Project Site payroll only)
Important: Attach current Workers' Compensation Policy Declaration Page and Schedule of Classifications.

Classification	Code	WC Rate	Est. # Job Hours	Estimated Unburdened Payroll	Premium Rate* Payroll/1000
1					
2					
3					
4					
Total				\$	

Increased Limits
Subcontractor Credit if applicable: _____
Assigned Risk Surcharge, if app.: _____
Rate Assessment Fund: _____
Premium Discount: _____

WC Insurance Company: _____
Experience Modifier (EMR): _____
Effective Date of WC Policy: _____
Expiration Date of WC Policy: _____
Employer's Liability Limit: _____

Total Estimated Project Workers' Comp. Premium: \$ (A)

B. General Liability (including completed operations)
Important: Attach additional pages if required.

Classification	Code	Current Rate	Estimated Unburdened Payroll/Receipts	Premium Rate* Payroll/1000
1				
2				
3				
4				
Total				\$

General Liability Premium: \$ _____
Excess/Unbrokers Liability Premium: 30% of General Liability Premium: \$ _____
Total Liability Premium: \$ (B)

C. Total Estimated Project General Liability Premium \$ (CP)

1. Description of Lower Tier Subcontractor Work: _____ Insurance Credit: \$ _____
2. Description of Lower Tier Subcontractor Work: _____ Insurance Credit: \$ _____
3. Description of Lower Tier Subcontractor Work: _____ Insurance Credit: \$ _____

Total Estimated Subcontractors Credit (add additional sheets if necessary): \$ (D)

Estimated Included Premium for Subcontracted Work: 2% Unknown: \$ (E)

15% Contracted Profit & Overhead %: \$ (F)

F. Total Premium (A+B+C+D+E) \$ (FP)

Signed by: _____ Title: _____
Date: _____

oswald
The Insurance & Construction Experts

BS0

- Documents insurance costs for coverages provided under the wrap-up.
- Used in Add Alternate and Gross Bid with Deduct Alternate scenarios.
- Intended to mirror what each contractor would have paid under their corporate insurance program if no wrap-up was in place.



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Wrap-Up Exclusions

Beware of older versions or manuscript wording. Understand if exclusion applies only if "enrolled" (insured) in the wrap-up.

CG 21 54 01 96

The following exclusion is added to paragraph 2. , Exclusions of COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY (Section I – Coverages) :

This insurance does not apply to "bodily injury" or "property damage" arising out of either your ongoing operations or operations included within the "products-completed operations hazard" at the location described in the Schedule of this endorsement, as a consolidated (wrap-up) insurance program has been provided by the prime contractor/project manager or owner of the construction project in which you are involved.

This exclusion applies whether or not the consolidated (wrap-up) insurance program:

- (1) Provides coverage identical to that provided by this Coverage Part;
- (2) Has limits adequate to cover all claims; or
- (3) Remains in effect.

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Wrap-Up Exclusions

Beware of older versions or manuscript wording. Understand if exclusion applies only if "enrolled" (insured) in the wrap-up.

CG 21 54 12 19

A. The following exclusion is added to Paragraph 2. Exclusions of Section I - Coverage A - Bodily Injury And Property Damage Liability:

This insurance does not apply to "bodily injury" or "property damage":

1. Arising out of your ongoing operations; or
2. Included in the "products-completed operations hazard"

at the location(s) described in the Schedule of this endorsement, but only if you are enrolled in a "controlled (wrap-up) insurance program" with respect to the "bodily injury" or "property damage" described in Paragraphs A.1. and A.2. above at such location(s).

This exclusion applies whether or not the "controlled (wrap-up) insurance program":

- a. Provides coverage identical to that provided by this Coverage Part;
- b. Has limits adequate to cover all claims; or
- c. Remains in effect.

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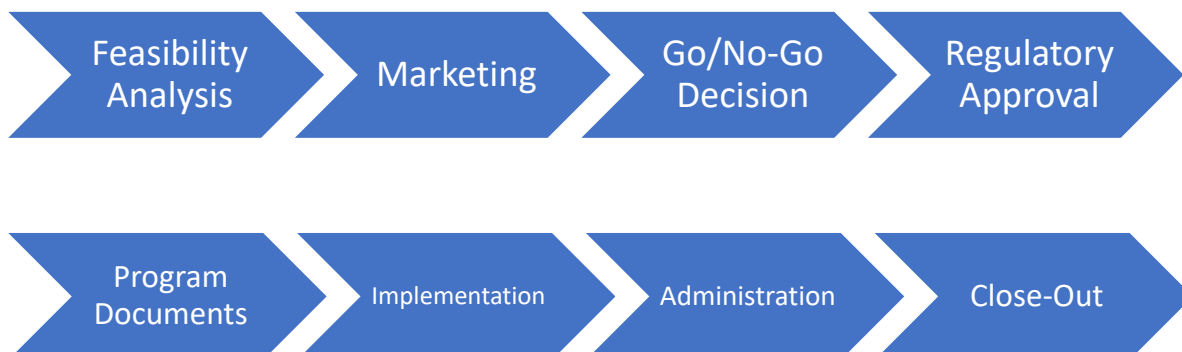
Wrap-Up Life Cycle



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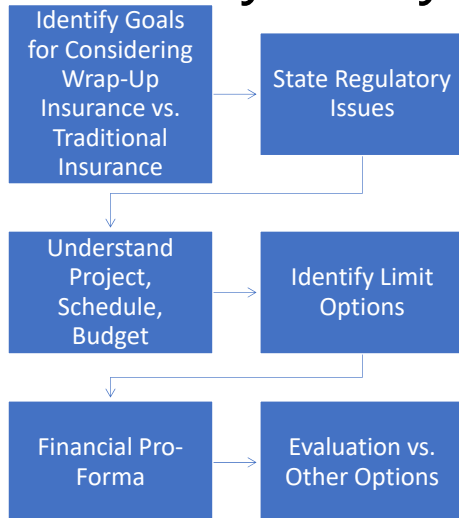
Wrap-Up Program Life Cycle

Steps can vary



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Feasibility Analysis



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State Wrap-Up Regulations

- Some States Require Prior Approval from the Dept. of Insurance for Workers' Compensation
- Minimum Size Requirements – Can Vary Private vs. Public
- Maximum Duration Requirements
- Safety Requirements
- Single Location
- Who's Insured
- Disclosure Requirements



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Marketing Coverages

- Description of the Project
- Information on Design / Construction Team
- Exposure Data incl. WC Payroll by Classification Code (if WC included)
- Safety, Security and Quality Controls
- Coverage Specifications
- Service Specifications
- May Require Specific Application (residential)
- Attachments
 - Agreement between Owner & CM/GC
 - Renderings
 - Schedule
 - Budget
 - Geotechnical Report
 - Site Map



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Feasibility Analysis

Financial Pro-Forma Prepared by Agent/Broker/Consultant

- Comparison of Traditional vs. Wrap-Up @ Various Loss Levels
- Key is Accurate Estimate of Enrolled WC Payroll & Contractor Credits
- Excess Limits impact wrap-up premiums



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Feasibility Analysis

Sample Project Pro-Forma									
Financial Pro-Forma @ Various Loss Levels									
Program Assumptions:	Premiums	Claims	Chain Handling Charge (8%)	Premium	LOC Cost by Annual \$ 5 yr.	Total Wrap-Up Cost	Traditional Cost	Profit	Profit as % HC
Hard Cost	\$ 135,000,000	\$ -	\$ -	\$ 2,065,000	\$ 36,250	\$ 2,101,250	\$ 3,500,000	\$ 1,398,750	1.05%
WC Payroll	\$20,000,000	\$ 100,000	\$ 8,000	\$ 2,065,000	\$ 36,250	\$ 2,209,250	\$ 3,500,000	\$ 1,290,750	0.97%
Est. Insurance Credits	\$ 3,500,000	\$ 200,000	\$ 16,000	\$ 2,065,000	\$ 36,250	\$ 2,317,250	\$ 3,500,000	\$ 1,182,750	0.89%
		\$ 300,000	\$ 24,000	\$ 2,065,000	\$ 36,250	\$ 2,425,250	\$ 3,500,000	\$ 1,074,750	0.81%
		\$ 400,000	\$ 32,000	\$ 2,065,000	\$ 36,250	\$ 2,533,250	\$ 3,500,000	\$ 966,750	0.73%
Limits:		\$ 500,000	\$ 40,000	\$ 2,065,000	\$ 36,250	\$ 2,641,250	\$ 3,500,000	\$ 858,750	0.65%
Workers' Compensation	Statutory	\$ 600,000	\$ 48,000	\$ 2,065,000	\$ 36,250	\$ 2,749,250	\$ 3,500,000	\$ 750,750	0.56%
Employer's Liability	\$1M/\$1M/\$1M	\$ 700,000	\$ 56,000	\$ 2,065,000	\$ 36,250	\$ 2,857,250	\$ 3,500,000	\$ 642,750	0.48%
General Liability	\$2M/\$4M/\$4M	\$ 800,000	\$ 64,000	\$ 2,065,000	\$ 36,250	\$ 2,965,250	\$ 3,500,000	\$ 534,750	0.40%
Excess Liability	\$48M	\$ 900,000	\$ 72,000	\$ 2,065,000	\$ 36,250	\$ 3,073,250	\$ 3,500,000	\$ 426,750	0.32%
Loss Retentions (Deductibles):		\$ 1,000,000	\$ 80,000	\$ 2,065,000	\$ 18,125	\$ 3,163,125	\$ 3,500,000	\$ 336,875	0.25%
Workers' Compensation	\$ 250,000	\$ 1,100,000	\$ 88,000	\$ 2,065,000	\$ 18,125	\$ 3,271,125	\$ 3,500,000	\$ 228,875	0.17%
General Liability	\$ 250,000	\$ 1,200,000	\$ 96,000	\$ 2,065,000	\$ 18,125	\$ 3,379,125	\$ 3,500,000	\$ 120,875	0.09%
Clash Deductible	\$ 375,000	\$ 1,300,000	\$ 104,000	\$ 2,065,000	\$ 18,125	\$ 3,487,125	\$ 3,500,000	\$ 12,875	0.01%
Loss Aggregate	\$ 1,700,000	\$ 1,400,000	\$ 112,000	\$ 2,065,000	\$ 18,125	\$ 3,595,125	\$ 3,500,000	\$ (95,125)	-0.07%
		\$ 1,500,000	\$ 120,000	\$ 2,065,000	\$ 18,125	\$ 3,703,125	\$ 3,500,000	\$ (203,125)	-0.15%
		\$ 1,600,000	\$ 128,000	\$ 2,065,000	\$ 18,125	\$ 3,811,125	\$ 3,500,000	\$ (311,125)	-0.23%
		\$ 1,700,000	\$ 136,000	\$ 2,065,000	\$ 18,125	\$ 3,919,125	\$ 3,500,000	\$ (419,125)	-0.32%
Deposit Premiums:									
Workers' Compensation	\$ 675,000								
General Liability	\$ 375,000								
\$50M (\$48M) Excess Liability	\$ 715,000								
CCIP Administration	\$ 300,000								
Subtotal Premiums	\$ 2,065,000								
Loss Fund & Collateral (LOC)									
Loss Fund	\$ 20,000								
Letter of Credit	\$ 725,000								
*Higher Excess Limits Available									
**Loss fund paid upfront & returned when all claims closed									



Go/No-Go Decision

Evaluation of OCIP vs. CCIP vs. Traditional

- Goals the Wrap-Up is Designed to Address
- Resources to Implement and Administer
- Costs
- Other Key Business Reasons



Wrap-Up Program Life Cycle

Implementation, Administration & Close Out



PROGRAM
DOCUMENTS



IMPLEMENTATION



ADMINISTRATION



CLOSE-OUT



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Wrap-Up Program Documents

Program Decisions

- Bid Credit - Methodology, True-Up Provisions, Change Orders
- Contractor/Subcontractor Deductible Obligations
- Return-to-Work Requirements & Penalties
- Safety Requirements
- Carrier Requirements
- State Requirements



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Wrap-Up Program Documents

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- ✓ Contractual Addendum to subcontract agreement
 - Contractually ties all subs into terms of the Wrap-Up
- ✓ CIP Manual
 - Explains administrative procedures, forms, instructions to report claims
 - Insurance Cost Worksheet (some projects)
 - Enrollment Form
 - Sample Off-Site COI & Endorsements
 - Monthly Payroll Report
 - Close-Out Form

Should be part of the bid documents & incorporated into the contract by reference



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Implementation

- Pre-Bid Meeting
- Kickoff Meeting – Sponsor, GC/CM, Broker, Insurer
- Set Up Administration Software Program
- Establish Report Frequency & Ongoing Meetings



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Administration

Enrolling in the Wrap-Up

- Notice of Subcontract Award (NOSA)
- Completed by GC/CM or Subcontractor
- Advises Administrator of Subcontract

BS0

Notice of Subcontract Award – Lower Tiers
 PROJECT: _____
 Form 3
 (Please complete ALL items.)

YOUR COMPANY INFORMATION (Firm Completing this Form)	
Subcontract #	
Company Name	
Contact Name	
Contact Phone	
Contact Email	

YOUR SUB-SUBCONTRACTOR'S INFORMATION	
Company Legal Name	
FEIN#	
Address	
Contact Name	
Contact Phone	
Contact Email	
Trade Type	
Subcontract Amount \$	
Est. Mobilization Date	
Est. Completion Date	

☐ Check this box only if your Sub-subcontractors scope of work is listed under Excluded Parties on Page 6 of this OCIP Manual.

☐ Check this box only if your Sub-tier's scope of work includes design services (delegated-design, design-assist, etc.)

Date _____ Submitted By: _____
Signature & Title



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Administration

Enrolling in the Wrap-Up

- Enrollment Form
- Bid Credit Worksheet (if applicable)
- Certificate of Insurance for Non-Wrap-Up Coverages

	Certificate of Insurance Requirement		
	WC/GL/EL/XS On-Site	WC/GL/EL/XS Off-Site	All Other Coverages On-Site & Off-Site
CIP Enrollment Status	On-Site	Off-Site	On-Site & Off-Site
Enrolled Subcontractors	N/A	REQUIRED	REQUIRED
Excluded Parties	REQUIRED	REQUIRED	REQUIRED

- Endorsements for Non-Wrap-Up Coverages
- Confirmation Letter & COI from Wrap-Up Administrator



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Administration

Ongoing Administration

- Ongoing Enrollment Reports
- Expired COI's
- Monthly WC Payroll Reports (if WC included)
- Periodic Meetings with Project Team
 - Project Status
 - OCIP Enrollment & Administrative Issues
 - Claims Review
 - Financial Performance



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Program Close-Out

- Close Out Notices from Subs as they complete their work
- Close Out Notices to remaining Enrolled Parties
- Final Audit – Enrolled Contractors (at option of wrap-up insurer)
- Final Audit - Sponsor
- Ongoing Claims thru Statute of Repose (if large deductible or SIR)
- Collateral thru Statute of Repose



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"That's a Wrap"... Any Questions?



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